# CHAPTER 15 Centre-State Relations

**Federal division of powers:** The Constitution of India, being federal in structure, divides all powers (legislative, executive and financial) between the Centre and the states. However, there is no division of judicial power as the Constitution has established an integrated judicial system to enforce both the Central laws as well as state laws.

Legislative | Executive | Financial | Judicial – not divided

↓

integrated judicial system enforces both Central laws + state laws

**Harmony and Coordination:** Though the Centre and the states are supreme in their respective fields, the maximum harmony and coordination between them is essential for the effective operation of the federal system. Hence, the Constitution contains elaborate provisions to regulate the various dimensions of the relations between the Centre and the states.

**Three dimensions of relations:** The Centre-state relations can be studied under three heads:

- Legislative relations.
- Administrative relations.
- Financial relations.

## LEGISLATIVE RELATIONS

**Constitutional basis (Arts. 245-255):** Articles 245 to 255 in Part XI of the Constitution deal with the legislative relations between the Centre and the states. Besides these, there are some other articles dealing with the same subject.

**Four aspects of legislative relations:** Like any other Federal Constitution, the Indian Constitution also divides the legislative powers between the Centre and the states with respect to both the territory and the subjects of legislation. Further, the Constitution provides for the parliamentary legislation in the state field under five extraordinary situations as well as the centre's control over state legislation in certain cases. Thus, there are four aspects in the Centre-states legislative relations, viz.,

| 1. | 2. | 3. | 4. |
|---|---|---|---|
| **Territorial extent of Central and state legislation;** | **Distribution of legislative subjects;** | **Parliamentary legislation in the state field; and** | **Centre's control over state legislation.** |

## Territorial Extent of Central and State Legislation

### 1. Territorial Extent of Central and State Legislation

**Territorial jurisdiction:** The Constitution defines the territorial limits of the legislative powers vested in the Centre and the states in the following way:

(i) **Pan-India jurisdiction of Parliament:** The Parliament can make laws for the whole or any part of the territory of India. The territory of India includes the states, the union territories, and any other area for the time being included in the territory of India.

(ii) **Doctrine of Territorial Nexus:** A state legislature can make laws for the whole or any part of the state. The laws made by a state legislature are not applicable outside the state, except when there is a sufficient nexus between the state and the object.

(iii) **Extra-territorial legislation:** The Parliament alone can make 'extra-territorial legislation'. Thus, the laws of the Parliament are also applicable to the Indian citizens and their property in any part of the world.

| Parliament | State legislature |
|---|---|
| whole or any part of India<br>states + UTs + other areas<br>extra-territorial also ✔ | whole or any part of the state<br>not outside the state<br>except sufficient nexus |

**Limits on plenary jurisdiction:** However, the Constitution places certain restrictions on the plenary territorial jurisdiction of the Parliament. In other words, the laws of Parliament are not applicable in the following areas:

(i) **President's regulation-making power (UTs):** The President can make regulations for the peace, progress and good government of the Union Territories of the Andaman and Nicobar Islands, Lakshadweep, Dadra and Nagar Haveli and Daman and Diu and Ladakh. In the case of Puducherry also, the President can legislate by making regulations but only when the Assembly is suspended or dissolved. A regulation so made has the same force and effect as an act of Parliament. It may also repeal or amend any act of Parliament in relation to these union territories.

(ii) **Governor & Scheduled Areas (Fifth Schedule):** The governor is empowered to direct that an act of Parliament does not apply to a scheduled area in the state or apply with specified modifications and exceptions.

(iii) **Tribal Areas (Sixth Schedule):** The Governor of Assam may likewise direct that an act of Parliament does not apply to a tribal area (autonomous district) in the state or apply with specified modifications and exceptions. The President enjoys the same power with respect to tribal areas (autonomous districts) in Meghalaya, Tripura and Mizoram.

| President | Governor | Governor of Assam / President |
|---|---|---|
| regulations for UTs A&N, Lakshadweep, DNH & DD, Ladakh<br>Puducherry – only if Assembly suspended/dissolved | scheduled area<br>act not to apply / apply with modifications | tribal areas<br>Assam (Governor)<br>Meghalaya, Tripura, Mizoram (President) |

## Distribution of Legislative Subjects

### 2. Distribution of Legislative Subjects

**Three-fold distribution (Seventh Schedule):** The Constitution provides for a three-fold distribution of legislative subjects between the Centre and the states, viz., List-I (the Union List), List-II (the State List) and List-III (the Concurrent List) in the Seventh Schedule:

| List-I Union List | List-II State List | List-III Concurrent List |
|---|---|---|
| 98 subjects<br>originally 97<br>Parliament – exclusive | 59 subjects<br>originally 66<br>State – exclusive (normal times) | 52 subjects<br>originally 47<br>Both |

(i) **Union List – exclusive power of Parliament:** The Parliament has exclusive powers to make laws with respect to any of the matters enumerated in the Union List. This list has at present 98 subjects (originally 97[1] subjects) like defence, banking, foreign affairs, currency, atomic energy, insurance, communication, inter-state trade and commerce, census, audit and so on.

(ii) **State List – exclusive in normal times:** The state legislature has "in normal circumstances" exclusive powers to make laws with respect to any of the matters enumerated in the State List. This has at present 59 subjects (originally 66[2] subjects) like public order, police, public health and sanitation, agriculture, prisons, local government, fisheries, markets, theaters, gambling and so on.

(iii) **Concurrent List – shared domain:** Both, the Parliament and state legislature can make laws with respect to any of the matters enumerated in the Concurrent List. This list has at present 52 subjects (originally 47[3] subjects) like criminal law and procedure, civil procedure, marriage and divorce, population control and family planning, electricity, labour welfare, economic and social planning, drugs, newspapers, books and printing press, and others. The 42nd Amendment Act of 1976 transferred five subjects to Concurrent List from State List, that is, (a) education, (b) forests, (c) weights and measures, (d) protection of wild animals and birds, and (e) administration of justice; constitution and organisation of all courts except the Supreme Court and the high courts.

State List → 42nd Amendment, 1976 → Concurrent List

education | forests | weights & measures | wild animals & birds | administration of justice

(iv) **Union Territories & acquired territories:** The Parliament has power to make laws with respect to any matter for any part of the territory of India not included in a state even though that matter is one which is enumerated in the State List. This provision has reference to the Union Territories or the Acquired Territories (if any).

(v) **GST – simultaneous power (101st Amdt):** The 101st Amendment Act of 2016 has made a special provision with respect to goods and services tax. Accordingly, the Parliament and the state legislature have power to make laws with respect to goods and services tax imposed by the Union or by the State. Further, the parliament has exclusive power to make laws with respect to goods and services tax where the supply of goods or services or both takes place in the course of inter-state trade or commerce.

(vi) **Residuary powers with Parliament:** The power to make laws with respect to residuary subjects (i.e., the matters which are not enumerated in any of the three lists) is vested in the Parliament. This residuary power of legislation includes the power to levy residuary taxes.

Residuary subjects → Parliament → incl. residuary taxes

1 Even now, the last entry is numbered as 97 but the total number of entries is 98. The entries numbered as 2A, 92A and 92B have been added and entries 33, 92 and 92C have been omitted.

2 Even now, the last entry is numbered as 66 but the total number of entries is 59. The entries numbered as 11, 19, 20, 29, 36, 52 and 55 have been omitted.

3 Even now, the last entry is numbered as 47 but the total number of entries is 52. The entries numbered as 11A, 17A, 17B, 20A and 33A have been added.

## Scheme of Lists and Predominance

**Rationale of three lists:** From the above scheme, it is clear that the matters of national importance and the matters which require uniformity of legislation nationwide are included in the Union List. The matters of regional and local importance and the matters which permit diversity of interest are specified in the State List. The matters on which uniformity of legislation throughout the country is desirable but not essential are enumerated in the concurrent list. Thus, it permits diversity along with uniformity.

| Union List | State List | Concurrent List |
|---|---|---|
| national importance | regional & local importance | uniformity desirable |
| uniformity nationwide | diversity of interest | but not essential |

**Comparative federalism – US, Australia, Canada:** In US, only the powers of the Federal Government are enumerated in the Constitution and the residuary powers are left to the states. The Australian Constitution followed the American pattern of single enumeration of powers. In Canada, on the other hand, there is a double enumeration—Federal and Provincial, and the residuary powers are vested in the Centre.

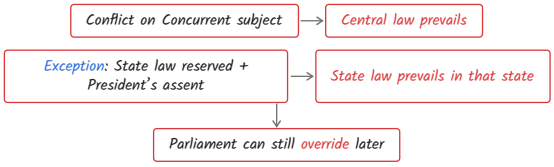
**GoI Act 1935 & Canadian precedent:** The Government of India Act of 1935 provided for a three-fold enumeration, viz., federal, provincial and concurrent. The present Constitution follows the scheme of this act but with one difference, that is, under this act, the residuary powers were given neither to the federal legislature nor to the provincial legislature but to the Governor-General of India. In this respect, India follows the Canadian precedent.

| Country / Act | Enumeration | Residuary powers |
|---|---|---|
| USA | single (federal only) | states |
| Australia | single (American pattern) | states |
| Canada | double (federal + provincial) | Centre |
| GoI Act 1935 | three-fold | Governor-General |
| India | three-fold (7th Schedule) | Parliament (Centre) |

**Hierarchy of lists:** The Constitution expressly secures the predominance of the Union List over the State List and the Concurrent List and that of the Concurrent List over the State List. Thus, in case of overlapping between the Union List and the State List, the former should prevail. In case of overlapping between the Union List and the Concurrent List, it is again the former which should prevail. Where there is a conflict between the Concurrent List and the State List, it is the former that should prevail.

Union List > Concurrent List > State List

**Doctrine of repugnancy (Art. 254):** In case of a conflict between the Central law and the state law on a subject enumerated in the Concurrent List, the central law prevails over the state law. But, there is an exception. If the state law has been reserved for the consideration of the President and has received his/her assent, then the state law prevails in that state. But, it would still be competent for the Parliament to override such a law by subsequently making a law on the same matter.




## Parliamentary Legislation in the State Field – I

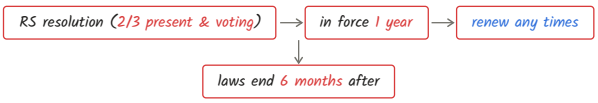
### 3. Parliamentary Legislation in the State Field

**Flexibility in abnormal times:** The above scheme of distribution of legislative powers between the Centre and the states is to be maintained in normal times. But, in abnormal times, the scheme of distribution is either modified or suspended. In other words, the Constitution empowers the Parliament to make laws on any matter enumerated in the State List under the following five extraordinary circumstances:

A. Rajya Sabha resolution | B. National Emergency | C. States' request | D. International agreements | E. President's Rule

### A. When Rajya Sabha Passes a Resolution

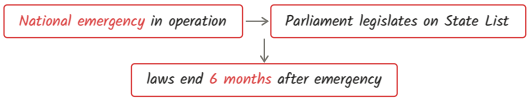
**Rajya Sabha resolution (Art. 249):** If the Rajya Sabha declares that it is necessary in the national interest that Parliament should make laws with respect to goods and services tax[3a] or a matter in the State List, then the Parliament becomes competent to make laws on that matter. Such a resolution must be supported by two-thirds of the members present and voting. The resolution remains in force for one year; it can be renewed any number of times but not exceeding one year at a time. The laws cease to have effect on the expiration of six months after the resolution has ceased to be in force.




**Parliamentary law prevails:** This provision does not restrict the power of a state legislature to make laws on the same matter. But, in case of inconsistency between a state law and a parliamentary law, the latter is to prevail.

### B. During a National Emergency

**National Emergency (Art. 250):** The Parliament acquires the power to legislate with respect to goods and services tax[3b] or matters in the State List, while a proclamation of national emergency is in operation. The laws become inoperative on the expiration of six months after the emergency has ceased to operate.




**Repugnancy – Parliament prevails:** Here also, the power of a state legislature to make laws on the same matter is not restricted. But, in case of repugnancy between a state law and a parliamentary law, the latter is to prevail.

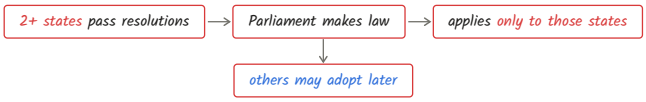
3a The provision for goods and services tax was added by the 101st Amendment Act of 2016.

3b Ibid.

## Parliamentary Legislation in the State Field – II

### C. When States Make a Request

**Consent of two or more states (Art. 252):** When the legislatures of two or more states pass resolutions requesting the Parliament to enact laws on a matter in the State List, then the Parliament can make laws for regulating that matter. A law so enacted applies only to those states which have passed the resolutions. However, any other state may adopt it afterwards by passing a resolution to that effect in its legislature. Such a law can be amended or repealed only by the Parliament and not by the legislatures of the concerned states.




**Surrender of state power:** The effect of passing a resolution under the above provision is that the Parliament becomes entitled to legislate with respect to a matter for which it has no power to make a law. On the other hand, the state legislature ceases to have the power to make a law with respect to that matter. The resolution operates as abdication or surrender of the power of the state legislature with respect to that matter and it is placed entirely in the hands of Parliament which alone can then legislate with respect to it.

| Parliament | State legislature |
|---|---|
| gains power on that matter | loses power on that matter |
| alone can amend / repeal | abdication / surrender |

**Examples – Art. 252 laws:** Some examples of laws passed under the above provision are Prize Competition Act, 1955; Wild Life (Protection) Act, 1972; Water (Prevention and Control of Pollution) Act, 1974; Urban Land (Ceiling and Regulation) Act, 1976; and Transplantation of Human Organs Act, 1994.

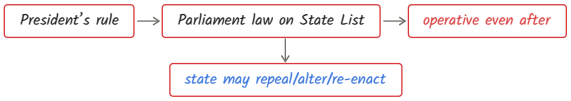
### D. To Implement International Agreements

**Treaty implementation (Art. 253):** The Parliament can make laws on any matter in the State List for implementing the international treaties, agreements or conventions. This provision enables the Central government to fulfil its international obligations and commitments.

**Examples – Art. 253 laws:** Some examples of laws enacted under the above provision are United Nations (Privileges and Immunities) Act, 1947; Geneva Convention Act, 1960; Anti-Hijacking Act, 1982 and legislations relating to environment and TRIPS.

### E. During President's Rule

**President's Rule – law survives:** When the President's rule is imposed in a state, the Parliament becomes empowered to make laws with respect to any matter in the State List in relation to that state. A law made so by the Parliament continues to be operative even after the president's rule. This means that the period for which such a law remains in force is not coterminous with the duration of the President's rule. But, such a law can be repealed or altered or re-enacted by the state legislature.



## Centre's Control Over State Legislation

### 4. Centre's Control Over State Legislation

**Central control over state legislation:** Besides the Parliament's power to legislate directly on the state subjects under the exceptional situations, the Constitution empowers the Centre to exercise control over the state's legislative matters in the following ways:

(i) **Reservation of state bills (Arts. 200 & 201):** The Governor can reserve a bill passed by the state legislature for the consideration of the President. It must be noted here that the President enjoys absolute veto over such a bill (Articles 200 and 201).

(ii) **Previous sanction – trade bills (Art. 304):** A state bill imposing restrictions on the freedom of trade, commerce and intercourse with that state or within that state can be introduced in the legislature of the state only with the previous sanction of the President (Article 304).

(iii) **Financial emergency – reservation (Art. 360):** The Centre can direct the states to reserve money bills and other financial bills passed by the state legislature for the President's consideration during a financial emergency (Article 360).

(iv) **Ordinance only on instructions (Art. 213):** The Governor cannot make an ordinance without the instructions from the President in certain cases (Article 213).

| Art. 200 & 201 | Art. 304 | Art. 360 | Art. 213 |
|---|---|---|---|
| reserved bill | trade restriction bill | money/financial bills | ordinance |
| absolute veto | previous sanction | financial emergency | President's instructions |

**Union supremacy in legislation:** From the above, it is clear that the Constitution has assigned a position of superiority to the Centre in the legislative sphere. In this context, the Sarkaria Commission on Centre– State Relations (1983–88) observed:

> **Sarkaria – rule of federal supremacy:** "The rule of federal supremacy is a technique to avoid absurdity, resolve conflict and ensure harmony between the Union and state laws. If this principle of union supremacy is excluded, it is not difficult to imagine its deleterious results. There will be every possibility of our two-tier political system being stultified by interference, strife, legal chaos and confusion caused by a host of conflicting laws, much to the bewilderment of the common citizen. Integrated legislative policy and uniformity on basic issues of common Union–state concern will be stymied. The federal principle of unity in diversity will be very much a casualty. This rule of federal supremacy, therefore, is indispensable for the successful functioning of the federal system".[4]

federal supremacy → avoids absurdity / conflict → harmony → unity in diversity

4 Report of the Commission on centre-state Relations, Part I (Government of India, 1988) pp. 28–29.

## Administrative Relations – I

## ADMINISTRATIVE RELATIONS

**Constitutional basis (Arts. 256–263):** Articles 256 to 263 in Part XI of the Constitution deal with the administrative relations between the Centre and the states. In addition, there are various other articles pertaining to the same matter.

### 1. Distribution of Executive Powers

**Executive follows legislative domain:** The executive power has been divided between the Centre and the states on the lines of the distribution of legislative powers, except in few cases.

Thus, the executive power of the Centre extends to the whole of India:

(i) **Union executive – Union List:** to the matters on which the Parliament has exclusive power of legislation (i.e., the subjects enumerated in the Union List); and

(ii) **Union executive – treaties:** to the exercise of rights, authority and jurisdiction conferred on it by any treaty or agreement.

Similarly, the executive power of a state extends to its territory in respect of matters on which the state legislature has exclusive power of legislation (i.e., the subjects enumerated in the State List).

**Concurrent subjects – executed by states:** In respect of matters on which both the Parliament and the state legislatures have power of legislation (i.e., the subjects enumerated in the Concurrent List), the executive power rests with the states except when a Constitutional provision or a parliamentary law specifically confers it on the Centre. Therefore, a law on a concurrent subject, though enacted by the Parliament, is to be executed by the states except when the Constitution or the Parliament has directed otherwise.[5]

| Union List | State List | Concurrent List |
|---|---|---|
| executive power → Centre + treaties / agreements | executive power → State | executive power → States unless Constitution / Parliament says Centre |

### 2. Obligation of States and the Centre

**Duty to comply & not impede (Arts. 256–257):** The Constitution has placed two restrictions on the executive power of the states in order to give ample scope to the Centre for exercising its executive power in an unrestricted manner. Thus, the executive power of every state is to be exercised in such a way (a) as to ensure compliance with the laws made by the Parliament and any existing law which apply in the state; and (b) as not to impede or prejudice the exercise of executive power of the Centre in the state. While the former lays down a general obligation upon the state, the latter imposes a specific obligation on the state not to hamper the executive power of the Centre.

| (a) general obligation | (b) specific obligation |
|---|---|
| comply with laws of Parliament + existing laws | not impede / prejudice Centre's executive power |

**Coercive sanction (Art. 365):** In both the cases, the executive power of the Centre extends to giving of such directions to the state as are necessary for the purpose. The sanction behind these directions of the Centre is coercive in nature. Thus, Article 365 says that where any state has failed to comply with (or to give effect to) any directions given by the Centre, it will be lawful for the President to hold that a situation has arisen in which the government of the state cannot be carried on in accordance with the provisions of the Constitution. It means that, in such a situation, the President's rule can be imposed in the state under Article 356.

Centre gives directions → State fails to comply → Art. 365

↓

President's rule (Art. 356)

### 3. Centre's Directions to the States

**Centre's directions to states:** In addition to the above two cases, the Centre is empowered to give directions to the states with regard to the exercise of their executive power in the following matters:

(i) **Communications of national/military importance:** the construction and maintenance of means of communication (declared to be of national or military importance) by the state;

(ii) **Protection of railways:** the measures to be taken for the protection of the railways within the state;

(iii) **Mother-tongue instruction – linguistic minorities:** the provision of adequate facilities for instruction in the mother-tongue at the primary stage of education to children belonging to linguistic minority groups in the state; and

(iv) **Welfare of Scheduled Tribes:** the drawing up and execution of the specified schemes for the welfare of the Scheduled Tribes in the state.

**Art. 365 applies to all directions:** The coercive sanction behind the Central directions under Article 365 (mentioned above) is also applicable in these cases.

5 For example, under the Essential Commodities Act, made by the Parliament on a concurrent subject, the executive power is vested in the Centre.

## Administrative Relations – II

### 4. Mutual Delegation of Functions

**Rigidity vs delegation:** The distribution of legislative powers between the Centre and the states is rigid. Consequently, the Centre cannot delegate its legislative powers to the states and a single state cannot request the Parliament to make a law on a state subject. The distribution of executive power in general follows the distribution of legislative powers. But, such a rigid division in the executive sphere may lead to occasional conflicts between the two. Hence, the Constitution provides for inter-government delegation of executive functions in order to mitigate rigidity and avoid a situation of deadlock.

**Consensual delegation (Arts. 258 & 258A):** Accordingly, the President may, with the consent of the state government, entrust to that government any of the executive functions of the Centre. Conversely, the governor of a state may, with the consent of the Central government, entrust to that government any of the executive functions of the state.[6] This mutual delegation of administrative functions may be conditional or unconditional.

Centre ⇄ State
(President entrusts (with state's consent); Governor entrusts (with Centre's consent))

**Statutory delegation by Parliament:** The Constitution also makes a provision for the entrustment of the executive functions of the Centre to a state without the consent of that state. But, in this case, the delegation is by the Parliament and not by the president. Thus, a law made by the Parliament on a subject of the Union List can confer powers and impose duties on a state, or authorise the conferring of powers and imposition of duties by the Centre upon a state (irrespective of the consent of the state concerned). Notably, the same thing cannot be done by the state legislature.

**Agreement vs legislation:** From the above, it is clear that the mutual delegation of functions between the Centre and the state can take place either under an agreement or by a legislation. While the Centre can use both the methods, a state can use only the first method.

| By agreement | By legislation |
|---|---|
| Centre ✔ | Centre (Parliament) ✔ |
| State ✔ | State ✘ |

### 5. Cooperation Between the Centre and States

**Cooperative mechanisms:** The Constitution contains the following provisions to secure cooperation and coordination between the Centre and the states:

(i) **Inter-state river water disputes (Art. 262):** The Parliament can provide for the adjudication of any dispute or complaint with respect to the use, distribution and control of waters of any inter-state river and river valley.

(ii) **Inter-State Council (Art. 263):** The President can establish (under Article 263) an Inter-State Council to investigate and discuss subject of common interest between the Centre and the states. Such a council was set up in 1990.

(iii) **Full faith and credit clause (Art. 261):** Full faith and credit is to be given throughout the territory of India to public acts, records and judicial proceedings of the Centre and every state.

(iv) **Inter-state trade authority (Art. 307):** The Parliament can appoint an appropriate authority to carry out the purposes of the constitutional provisions relating to the interstate freedom of trade, commerce and intercourse. But, no such authority has been appointed so far.

| river water disputes | Inter-State Council<br>Art. 263 · 1990 | full faith & credit | trade authority<br>not appointed |
|---|---|---|---|

6 This provision (the power of the states to entrust functions to the Centre) was added by the 7th Constitutional Amendment Act of 1956. Before that, only the Centre had the power.

## All-India Services

### 6. All-India Services

**All-India Services:** Like in any other federation, the Centre and the states also have their separate public services called as the Central Services and the State Services respectively. In addition, there are All-India Services—IAS, IPS and IFoS. The members of these services occupy top positions (or key posts) under both the Centre and the states and serve them by turns. But, they are recruited and trained by the Centre.




**Joint control – ultimate & immediate:** These services are controlled jointly by the Centre and the states. The ultimate control lies with the Central government while the immediate control vests with the state governments.

| Ultimate control | Immediate control |
|---|---|
| Central government | State governments |

**Evolution – ICS to IAS, IFoS, Art. 312:** In 1947, Indian Civil Service (ICS) was replaced by IAS and the Indian Police (IP) was replaced by IPS and were recognised by the Constitution as All-India Services. In 1966, the Indian Forest Service (IFoS) was created as the third All-India Service. Article 312 of the Constitution authorises the Parliament to create new All-India Services on the basis of a Rajya Sabha resolution to that effect.

ICS → IAS (1947) → IP → IPS (1947) → IFoS (1966)

↓

new: Art. 312 + RS resolution

**Single unified cadre:** Each of these three All-India Services, irrespective of their division among different states, form a single service with common rights and status and uniform scales of pay throughout the country.

**Justification of AIS:** Though the All-India Services violate the principle of federalism under the Constitution by restricting the autonomy and patronage of the states, they are supported on the ground that

(i) **High standard of administration:** they help in maintaining high standard of administration in the Centre as well as in the states;

(ii) **Administrative uniformity:** they help to ensure uniformity of the administrative system throughout the country; and

(iii) **Liaison & coordination:** they facilitate liaison, cooperation, coordination and joint action on the issues of common interest between the Centre and the states.




**Ambedkar on AIS:** While justifying the institution of all-India services in the Constituent Assembly, Dr. B.R. Ambedkar observed that:

> **Strategic posts – dual service with exception:** "The dual polity which is inherent in a federal system is followed in all federations by a dual service. In all federations, there is a Federal Civil Service and a State Civil Service. The Indian federation, though a dual polity, will have a dual service, but with one exception. It is recognised that in every country there are certain posts in its administrative set up which might be called strategic from the point of view of maintaining the standard of administration. There can be no doubt that the standard of administration depends upon the calibre of the civil servants who are appointed to the strategic posts. The Constitution provides that without depriving the states of their rights to form their own civil services, there shall be an all-India service, recruited on an all-India basis with common qualifications, with uniform scale of pay and members of which alone could be appointed to those strategic posts throughout the Union".[7]

7 Constituent Assembly Debates, Volume VII, pp. 41-42.

## Administrative Relations – III

### 7. Public Service Commissions

**Public Service Commissions:** In the field of public service commissions, the Centre-state relations are as follows:

(i) **SPSC – removal by President:** The Chairman and members of a state public service commission, though appointed by the governor of the state, can be removed only by the President.

(ii) **JSPSC – created by Parliament:** The Parliament can establish a Joint State Public Service Commission (JSPSC) for two or more states on the request of the state legislatures concerned. The chairman and members of the JSPSC are appointed by the President.

(iii) **UPSC serving states:** The Union Public Service Commission (UPSC) can serve the needs of a state on the request of the state governor and with the approval of the President.

(iv) **Joint recruitment:** The UPSC assists the states (when requested by two or more states) in framing and operating schemes of joint recruitment for any services for which candidates possessing special qualifications are required.

| SPSC | JSPSC | UPSC |
|---|---|---|
| appointed: Governor<br>removed: President | created: Parliament<br>appointed: President | serves a state<br>Governor's request +<br>President's approval |

### 8. Integrated Judicial System

**Integrated judicial system:** Though India has a dual polity, there is no dual system of administration of justice. The Constitution, on the other hand, established an integrated judicial system with the Supreme Court at the top and the state high courts below it. This single system of courts enforces both the Central laws as well as the state laws. This is done to eliminate diversities in the remedial procedure.

Supreme Court → High Courts → Central + state laws

**Appointment of HC judges:** The judges of a state high court are appointed by the President in consultation with the Chief Justice of India and the governor of the state. They can also be transferred and removed by the President.

**Common High Court:** The Parliament can establish a common high court for two or more states. For example, Maharashtra and Goa or Punjab and Haryana have a common high court.

### 9. Relations During Emergencies

(i) **National Emergency (Art. 352):** During the operation of a national emergency (under Article 352), the Centre becomes entitled to give executive directions to a state on 'any' matter. Thus, the state governments are brought under the complete control of the Centre, though they are not suspended.

(ii) **President's Rule (Art. 356):** When the President's Rule is imposed in a state (under Article 356), the President can assume to himself/herself the functions of the state government and powers vested in the Governor or any other executive authority in the state.

(iii) **Financial Emergency (Art. 360):** During the operation of a financial emergency (under Article 360), the Centre can direct the states to observe canons of financial propriety and can give other necessary directions including the reduction of salaries of persons serving in the state.

| Art. 352 | Art. 356 | Art. 360 |
|---|---|---|
| directions on any matter<br>state govt not suspended | President assumes<br>state functions | financial propriety<br>cut salaries |

## Administrative Relations – IV

### 10. Other Provisions

**Other control provisions:** The Constitution contains the following other provisions which enable the Centre to exercise control over the state administration:

(i) **Duty of the Union (Art. 355):** Article 355 imposes two duties on the Centre: (a) to protect every state against external aggression and internal disturbance; and (b) to ensure that the government of every state is carried on in accordance with the provisions of the Constitution.

(ii) **Governor as agent of the Centre:** The governor of a state is appointed by the President. He/she holds office during the pleasure of the President. In addition to the Constitutional head of the state, the governor acts as an agent of the Centre in the state. He/she submits periodical reports to the Centre about the administrative affairs of the state.

(iii) **State Election Commissioner:** The state election commissioner, though appointed by the governor of the state, can be removed only by the President.

Art. 355 – 2 duties | Governor – agent of Centre | SEC – removed by President

### 11. Extra-Constitutional Devices

**Extra-constitutional devices:** In addition to the above-mentioned constitutional devices, there are extra-constitutional devices to promote cooperation and coordination between the Centre and the states. These include a number of advisory bodies and conferences held at the Central level.




**Non-constitutional advisory bodies:** The non-constitutional advisory bodies include the NITI Ayog (which succeeded the planning commission), the National Integration Council, the Central Council of Health and Family Welfare, the Central Council of Local Government, the Zonal Councils, the North-Eastern Council, the Central Council of Indian Medicine, the Central Council of Homoeopathy, the Transport Development Council, the University Grants Commission and so on.

**Centre-state conferences:** The important conferences held either annually or otherwise to facilitate Centre-state consultation on a wide range of matters are as follows:

(i) The governors' conference (presided over by the President).
(ii) The chief ministers' conference (presided over by the prime minister).
(iii) The chief secretaries' conference (presided over by the cabinet secretary).
(iv) The conference of inspector-general of police.
(v) The chief justices' conference (presided over by the chief justice of India).
(vi) The conference of vice-chancellors.
(vii) The home ministers' conference (presided over by the Central home minister).
(viii) The law ministers' conference (presided over by the Central law minister).

| Conference | Presided over by |
|---|---|
| Governors | President |
| Chief ministers | Prime minister |
| Chief secretaries | Cabinet secretary |
| Chief justices | Chief justice of India |
| Home ministers | Central home minister |
| Law ministers | Central law minister |

## Financial Relations – Allocation of Taxing Powers

### FINANCIAL RELATIONS

**Constitutional basis (Arts. 268–293):** Articles 268 to 293 in Part XII of the Constitution deal with Centre-state financial relations. Besides these, there are other provisions dealing with the same subject. These together can be studied under the following heads:

#### I. Allocation of Taxing Powers

**Separation of taxing powers:** The Constitution divides the taxing powers between the Centre and the states in the following way:

- The Parliament has exclusive power to levy taxes on subjects enumerated in the Union List (which are 13 in number[8]).
- The state legislature has exclusive power to levy taxes on subjects enumerated in the State List (which are 18 in number[9]).
- There are no tax entries in the Concurrent List. In other words, the concurrent jurisdiction is not available with respect to tax legislation. But, the 101st Amendment Act of 2016 has made an exception by making a special provision with respect to goods and services tax. This Amendment has conferred concurrent power upon the Parliament and State Legislatures to make laws governing goods and services tax[10].
- The residuary power of taxation (that is, the power to impose taxes not enumerated in any of the three lists) is vested in the Parliament. Under this provision, the Parliament has imposed gift tax, wealth tax and expenditure tax.

| Union List | State List | Concurrent List | Residuary |
|---|---|---|---|
| 13 tax entries | 18 tax entries | no tax entries except GST (101st Amdt) | Parliament |
| Parliament | State legislature | | gift, wealth, expenditure tax |

**Levy vs appropriation:** The Constitution also draws a distinction between the power to levy and collect a tax and the power to appropriate the proceeds of the tax so levied and collected. For example, the income-tax is levied and collected by the Centre but its proceeds are distributed between the Centre and the states.

Income tax: levied & collected by Centre → proceeds shared Centre + states

**Restrictions on state taxation:** Further, the Constitution has placed the following restrictions on the taxing powers of the states:

(i) **Profession tax ceiling (Art. 276):** A state legislature can impose taxes on professions, trades, callings and employments. But, the total amount of such taxes payable by any person should not exceed ₹2,500 per annum.[11]

(ii) **Place of supply (Art. 286):** A state legislature is prohibited from imposing a tax on the supply of goods or services or both in the following two cases: (a) where such supply takes place outside the state; and (b) where such supply takes place in the course of import or export. Further, the Parliament is empowered to formulate the principles for determining when a supply of goods or services or both takes place outside the state, or in the course of import or export[12].

(iii) **Electricity tax exemption (Art. 287):** A state legislature can impose tax on the consumption or sale of electricity. But, no tax can be imposed on the consumption or sale of electricity which is (a) consumed by the Centre or sold to the Centre; or (b) consumed in the construction, maintenance or operation of any railway by the Centre or by the concerned railway company or sold to the Centre or the railway company for the same purpose.

(iv) **Inter-state river authority (Art. 288):** A state legislature can impose a tax in respect of any water or electricity stored, generated, consumed, distributed or sold by any authority established by Parliament for regulating or developing any inter-state river or river valley. But, such a law, to be effective, should be reserved for the president's consideration and receive his/her assent.

| Profession tax | Supply tax | Electricity | Inter-state river |
|---|---|---|---|
| max ₹2,500/year | ✘ outside state<br>✘ import/export | ✘ Centre / railways | reserve for President |

8 Entries—82, 83, 84, 85, 86, 87, 88, 89, 90, 91, 92A, 92B and 96.

9 Entries—45, 46, 47, 48, 49, 50, 51, 53, 54, 56, 57, 58, 59, 60, 61, 62, 63 and 66.

10 In this regard, the 101st Amendment Act of 2016 inserted Article 246-A in the Constitution.

11 Originally, this limit was only ₹250 per annum. The 60th Amendment Act of 1988 raised it to ₹2,500 per annum.

12 These provisions are contained in Article 286, as amended by the 101st Amendment Act of 2016.

## Distribution of Tax Revenues – 80th and 101st Amendments

#### 2. Distribution of Tax Revenues

**Restructuring of fiscal federalism:** The 80th Amendment Act of 2000 and the 101st Amendment Act of 2016 have introduced major changes in the scheme of the distribution of tax revenues between the centre and the states.

**Alternative Scheme of Devolution (80th Amdt):** The 80th Amendment was enacted to give effect to the recommendations of the 10th Finance Commission. The Commission recommended that out of the total income obtained from certain central taxes and duties, 29% should go to the states. This is known as the 'Alternative Scheme of Devolution' and came into effect retrospectively from April 1, 1996. This amendment has brought several central taxes and duties like Corporation Tax and Customs Duties at par with Income Tax (taxes on income other than agricultural income) as far as their constitutionally mandated sharing with the states is concerned.[13]

10th Finance Commission → 29% to states → Alternative Scheme of Devolution
↓
from 1 April 1996

**GST regime (101st Amdt):** The 101st Amendment has paved the way for the introduction of a new tax regime (i.e., goods and services tax – GST) in the country. Accordingly, the Amendment conferred concurrent taxing powers upon the Parliament and the State Legislatures to make laws for levying GST on every transaction of supply of goods or services or both. The GST replaced a number of indirect taxes levied by the Union and the State Governments and is intended to remove the cascading effect of taxes and provide for a common national market for goods and services.

The Amendment provided for subsuming of various central indirect taxes and levies such as

(i) Central Excise Duty,
(ii) Additional Excise Duties,
(iii) Excise Duty levied under the Medicinal and Toilet Preparations (Excise Duties) Act, 1955,
(iv) Service Tax,
(v) Additional Customs Duty commonly known as Countervailing Duty,
(vi) Special Additional Duty of Customs, and
(vii) Central Surcharges and Cesses

so far as they related to the supply of goods and services.

Similarly, the Amendment provided for subsuming of

(i) State Value Added Tax / Sales Tax,
(ii) Entertainment Tax (other than the tax levied by the local bodies),
(iii) Central Sales Tax (levied by the Centre and collected by the States),
(iv) Octroi and Entry Tax,
(v) Purchase Tax,
(vi) Luxury Tax,
(vii) Taxes on lottery, betting and gambling, and
(viii) State Surcharges and Cesses

in so far as they related to the supply of goods and services.

Further, the Amendment deleted Article 268-A as well as Entry 92-C in the Union List, both were dealing with service tax. They were added earlier by the 88th Amendment Act of 2003. The service tax was levied by the Centre but collected and appropriated by both the Centre and the States.

| Central taxes subsumed (7) | State taxes subsumed (8) |
|---|---|
| Central Excise Duty | State VAT / Sales Tax |
| Additional Excise Duties | Entertainment Tax |
| Medicinal & Toilet Prep. excise | Central Sales Tax |
| Service Tax | Octroi & Entry Tax |
| Countervailing Duty | Purchase Tax |
| Special Addl. Duty of Customs | Luxury Tax |
| Central surcharges & cesses | Lottery, betting, gambling |
| | State surcharges & cesses |

88th Amdt 2003: Art. 268-A + Entry 92-C → 101st Amdt 2016: deleted

**Present scheme of tax sharing:** After the above two amendments (i.e., 80th Amendment and 101st Amendment), the present position with respect to the distribution of tax revenues between the centre and the states is as follows:

A. Art. 268 | B. Art. 269 | C. Art. 269-A | D. Art. 270 | E. Art. 271 | F. State taxes

13 This amendment deleted Article 272 (Taxes which are levied and collected by the Centre and may be distributed between the Centre and the states).

## Distribution of Tax Revenues – Articles 268 to 271

### A. Taxes Levied by the Centre but Collected and Appropriated by the States (Article 268):

**Stamp duties (Art. 268):** This category includes the stamp duties on bills of exchange, cheques, promissory notes, policies of insurance, transfer of shares and others.

**Outside Consolidated Fund of India:** The proceeds of these duties levied within any state do not form a part of the Consolidated Fund of India, but are assigned to that state.

levied: **Centre** → collected: **State** → appropriated: **State**

### B. Taxes Levied and Collected by the Centre but Assigned to the States (Article 269):

**Taxes assigned to states (Art. 269):** The following taxes fall under this category:

(i) **Inter-state sale tax:** Taxes on the sale or purchase of goods (other than newspapers) in the course of inter-state trade or commerce.
(ii) **Consignment tax:** Taxes on the consignment of goods in the course of inter-state trade or commerce.

**Net proceeds assigned:** The net proceeds of these taxes do not form a part of the Consolidated Fund of India. They are assigned to the concerned states in accordance with the principles laid down by the Parliament.

levied: **Centre** → collected: **Centre** → assigned: **States**

### C. Levy and Collection of Goods and Services Tax in Course of Inter-State Trade or Commerce (Article 269-A):

**IGST (Art. 269-A):** The Goods and Services Tax (GST) on supplies in the course of inter-state trade or commerce are levied and collected by the Centre. But, this tax is divided between the Centre and the States in the manner provided by Parliament on the recommendations of the GST Council. Further, the Parliament is also authorized to formulate the principles for determining the place of supply, and when a supply of goods or services or both takes place in the course of inter-state trade or commerce.

inter-state GST (IGST) → levied & collected: **Centre** → divided: **Centre + States**
↓
as per GST Council

### D. Taxes Levied and Collected by the Centre but Distributed between the Centre and the States (Article 270):

**Divisible pool (Art. 270):** This category includes all taxes and duties referred to in the Union List except the following:

(i) **Exclusion – Arts. 268, 269, 269-A:** Duties and taxes referred to in Articles 268, 269 and 269-A (mentioned above);
(ii) **Exclusion – surcharges:** Surcharge on taxes and duties referred to in Article 271 (mentioned below); and
(iii) **Exclusion – cesses:** Any cess levied for specific purposes.

**Finance Commission formula:** The manner of distribution of the net proceeds of these taxes and duties is prescribed by the President on the recommendation of the Finance Commission.

all Union List taxes → minus 268, 269, 269-A, surcharge, cess
↓
shared as per **Finance Commission**

### E. Surcharge on Certain Taxes and Duties for Purposes of the Centre (Article 271):

**Surcharges – Centre only (Art. 271):** The Parliament can at any time levy the surcharges on taxes and duties referred to in Articles 269 and 270 (mentioned above). The proceeds of such surcharges go to the Centre exclusively. In other words, the states have no share in these surcharges.

**GST outside surcharge:** However, the Goods and Services Tax (GST) is exempted from this surcharge. In other words, this surcharge can not be imposed on the GST.

Surcharge (Art. 271) → **Centre only** → not on GST

## State Taxes and Non-tax Revenues

### F. Taxes Levied and Collected and Retained by the States:

**Exclusive state taxes (18):** These are the taxes belonging to the states exclusively. They are enumerated in the state list and are 18 in number. These are[14]:

(i) land revenue;
(ii) taxes on agricultural income;
(iii) duties in respect of succession to agricultural land;
(iv) estate duty in respect of agricultural land;
(v) taxes on lands and buildings;
(vi) taxes on mineral rights;
(vii) Duties of excise on alcoholic liquors for human consumption; opium, Indian hemp and other narcotic drugs and narcotics, but not including medicinal and toilet preparations containing alcohol or narcotics;
(viii) taxes on the consumption or sale or electricity;
(ix) taxes on the sale of petroleum crude, high speed diesel, motor spirit (commonly known as petrol), natural gas, aviation turbine fuel and alcoholic liquor for human consumption, but not including sale in the course of inter-state trade or commerce or sale in the course of international trade or commerce of such goods;
(x) taxes on goods and passengers carried by road or inland waterways;
(xi) taxes on vehicles;
(xii) taxes on animals and boats;
(xiii) tolls;
(xiv) taxes on professions, trades, callings and employments;
(xv) capitation taxes;
(xvi) taxes on entertainments and amusements to the extent levied and collected by a Panchayat or a Municipality or a Regional Council or a District Council;
(xvii) stamp duty on documents (except those specified in the Union List); and
(xviii) fees on the matters enumerated in the State List (except court fees).

levied: **State** → collected: **State** → retained: **State**

**3. Distribution of Non-tax Revenues**

### A. The Centre

**Non-tax revenue – Centre:** The receipts from the following form the major sources of non-tax revenues of the Centre:

(i) posts and telegraphs;
(ii) railways;
(iii) banking;
(iv) broadcasting
(v) coinage and currency;
(vi) central public sector enterprises;
(vii) escheat and lapse; and
(viii) others.

### B. The States

**Non-tax revenue – States:** The receipts from the following form the major sources of non-tax revenues of the states:

(i) irrigation;
(ii) forests;
(iii) fisheries;
(iv) state public sector enterprises;
(v) escheat and lapse; and
(vi) others.

| Centre – non-tax | States – non-tax |
|---|---|
| posts & telegraphs | irrigation |
| railways | forests |
| banking | fisheries |
| broadcasting | state PSEs |
| coinage & currency | escheat & lapse |
| central PSEs | others |
| escheat & lapse | |
| others | |

[14] Entry 52 (taxes on the entry of goods into a local area for consumption, use or sale therein) and entry 55 (taxes on advertisements other than advertisements published in the newspapers and advertisements broadcast by radio or television) were omitted by the 101st Amendment Act of 2016.

## Grants-in-Aid to the States

### 4. Grants-in-Aid to the States

**Grants-in-aid:** Besides sharing of taxes between the Centre and the states, the Constitution provides for grants-in-aid to the states from the Central resources. There are two types of grants-in-aid, viz, statutory grants and discretionary grants:

A. Statutory (Art. 275) | B. Discretionary (Art. 282) | C. Other (temporary)

### A. Statutory Grants

**Statutory grants (Art. 275):** Article 275 empowers the Parliament to make grants to the states which are in need of financial assistance and not to every state. Also, different sums may be fixed for different states. These sums are charged on the Consolidated Fund of India every year.

**Specific grants – STs & Scheduled Areas:** Apart from this general provision, the Constitution also provides for specific grants for promoting the welfare of the scheduled tribes in a state or for raising the level of administration of the scheduled areas in a state including the State of Assam.

**Finance Commission route:** The statutory grants under Article 275 (both general and specific) are given to the states on the recommendation of the Finance Commission.

| General | Specific |
|---|---|
| states in need | welfare of STs |
| different sums | scheduled areas (incl. Assam) |

→ both on recommendation of Finance Commission · charged on Consolidated Fund of India

### B. Discretionary Grants

**Discretionary grants (Art. 282):** Article 282 empowers both the Centre and the states to make any grants for any public purpose, even if it is not within their respective legislative competence. Under this provision, the Centre makes grants to the states.

> **Purpose of discretionary grants:** "These grants are also known as discretionary grants, the reason being that the Centre is under no obligation to give these grants and the matter lies within its discretion. These grants have a two-fold purpose: to help the state financially to fulfil plan targets; and to give some leverage to the Centre to influence and coordinate state action to effectuate the national plan."[15]

fulfil plan targets | leverage to Centre

### C. Other Grants

**Jute grants (Art. 273):** The Constitution also provided for a third type of grants-in-aid, but for a temporary period. Thus, a provision was made for grants in lieu of export duties on jute and jute products to the States of Assam, Bihar, Orissa and west Bengal. These grants were to be given for a period of ten years from the commencement of the Constitution. These sums were charged on the Consolidated Fund of India and were made to the states on the recommendation of the Finance Commission.

[15] M.P. Jain: Indian Constitutional Law, Wadhwa, Fourth Edition, pp. 342–43.

## GST Council and Finance Commission

### 5. Goods and Services Tax Council

**Need for GST Council:** The smooth and efficient administration of the goods and services tax (GST) requires a co-operation and co-ordination between the Centre and the States. In order to facilitate this consultation process, the 101st Amendment Act of 2016 provided for the establishment of a Goods and Services Tax Council or the GST Council.

**GST Council (Art. 279-A):** Article 279-A empowered the President to constitute a GST Council by an order[16]. The Council is a joint forum of the Centre and the States. It is required to make recommendations to the Centre and the States on the following matters:

(a) **Taxes to be subsumed:** The taxes, cesses and surcharges levied by the Centre, the States and the local bodies that would get merged in GST.
(b) **GST coverage & exemptions:** The goods and services that may be subjected to GST or exempted from GST.
(c) **Model GST laws & place of supply:** Model GST Laws, principles of levy, apportionment of GST levied on supplies in the course of inter-state trade or commerce and the principles that govern the place of supply.
(d) **Threshold exemption:** The threshold limit of turnover below which goods and services may be exempted from GST.
(e) **GST rates & bands:** The rates including floor rates with bands of GST.
(f) **Disaster cess / special rate:** Any special rate or rates for a specified period to raise additional resources during any natural calamity or disaster.

101st Amdt 2016 → Art. 279-A → President's order → GST Council
↓ joint forum

### 6. Finance Commission

**Finance Commission (Art. 280):** Article 280 provides for a Finance Commission as a quasi-judicial body. It is constituted by the President every fifth year or even earlier. It is required to make recommendations to the President on the following matters:

- The distribution of the net proceeds of taxes to be shared between the Centre and the states, and the allocation between the states, the respective shares of such proceeds.
- The principles which should govern the grants-in-aid to the states by the Centre (i.e., out of the Consolidated Fund of India).
- The measures needed to augment the Consolidated fund of a state to supplement the resources of the panchayats and the municipalities in the state on the basis of the recommendations made by the State Finance Commission.[17]
- Any other matter referred to it by the President in the interests of sound finance.

**Jute grants till 1960:** Till 1960, the Commission also suggested the amounts paid to the States of Assam, Bihar, Orissa and West Bengal in lieu of assignment of any share of the net proceeds in each year of export duty on jute and jute products.

**Balancing wheel of fiscal federalism:** The Constitution envisages the Finance Commission as the **balancing wheel of fiscal federalism** in India.

Finance Commission → balancing wheel of fiscal federalism

[16] Article 279-A(1) says that the President shall, within sixty days from the commencement of the Constitution (One Hundred and First Amendment) Act, 2016, by order, constitute a Council to be called the Goods and Services Tax Council.

[17] This function was added by the 73rd and 74th Amendment Acts of 1992 which have granted constitutional status on the panchayats and the municipalities respectively.

## Protection of States' Interest and Borrowing

### 7. Protection of the States' Interest

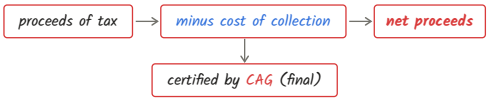
**President's prior recommendation (Art. 274):** To protect the interest of states in the financial matters, the Constitution lays down that the following bills can be introduced in the Parliament only on the recommendation of the President:

- A bill which imposes or varies any tax or duty in which states are interested;
- A bill which varies the meaning of the expression 'agricultural income' as defined for the purposes of the enactments relating to Indian income tax;
- A bill which affects the principles on which moneys are or may be distributable to states; and
- A bill which imposes any surcharge on any specified tax or duty for the purpose of the Centre.

↓ all 4 bills → only with President's recommendation

**Tax in which states are interested:** The expression "tax or duty in which states are interested" means: (a) a tax or duty the whole or part of the net proceeds whereof are assigned to any state; or (b) a tax or duty by reference to the net proceeds whereof sums are for the time being payable, out of the Consolidated Fund of India to any state.

**Net proceeds – CAG certified:** The phrase 'net proceeds' means the proceeds of a tax or a duty minus the cost of collection. The net proceeds of a tax or a duty in any area is to be ascertained and certified by the Comptroller and Auditor-General of India. His/her certificate is final.




### 8. Borrowing by the Centre and the States

**Borrowing powers (Arts. 292–293):** The Constitution makes the following provisions with regard to the borrowing powers of the Centre and the states:

- The Central government can borrow either within India or outside upon the security of the Consolidated Fund of India or can give guarantees, but both within the limits fixed by the Parliament. So far, no such law has been enacted by the Parliament.
- Similarly, a state government can borrow within India (and not abroad) upon the security of the Consolidated Fund of the State or can give guarantees, but both within the limits fixed by the legislature of that state.
- The Central government can make loans to any state or give guarantees in respect of loans raised by any state. Any sums required for the purpose of making such loans are to be charged on the Consolidated Fund of India.
- A state cannot raise any loan without the consent of the Centre, if there is still outstanding any part of a loan made to the state by the Centre or in respect of which a guarantee has been given by the Centre.

| Centre | State |
|---|---|
| India + abroad | only within India |
| security: CFI | security: CF of State |
| limits: Parliament (no law yet) | limits: state legislature |
| | Centre's consent if loan outstanding |

## Inter-Governmental Tax Immunities and Emergencies

### 9. Inter-Governmental Tax Immunities

**Immunity from mutual taxation:** Like any other federal Constitution, the Indian Constitution also contain the rule of 'immunity from mutual taxation' and makes the following provisions in this regard:

#### A. Exemption of Central Property from State Taxation

**Central property exempt (Art. 285):** The property of Centre is exempted from all taxes imposed by a state or any authority within a state like municipalities, district boards, panchayats and so on. But, the Parliament is empowered to remove this ban. The word 'property' includes lands, buildings, chattels, shares, debts, everything that has a money value, and every kind of property—movable or immovable and tangible or intangible. Further, the property may be used for sovereign (like armed forces) or commercial purposes.

**Central PSUs taxable:** The corporations or the companies created by the Central government are not immune from state taxation or local taxation. The reason is that a corporation or a company is a separate legal entity.

#### B. Exemption of State Property or Income from Central Taxation

**State property & income exempt (Art. 289):** The property and income of a state is exempted from Central taxation. Such income may be derived from sovereign functions or commercial functions. But the Centre can tax the commercial operations of a state if Parliament so provides. However, the Parliament can declare any particular trade or business as incidental to the ordinary functions of the government and it would then not be taxable.

**Local bodies & state PSUs taxable:** Notably, the property and income of local authorities situated within a state are not exempted from the Central taxation. Similarly, the property or income of corporations and companies owned by a state can be taxed by the Centre.

**Sea Customs case (1963):** The Supreme Court, in an advisory opinion[18] (1963), held that the immunity granted to a state in respect of Central taxation does not extend to the duties of customs or duties of excise. In other words, the Centre can impose customs duty on goods imported or exported by a state, or an excise duty on goods produced or manufactured by a state.

| Central property | State property / income |
|---|---|
| ✔ exempt from state taxes | ✔ exempt from Central taxes |
| Parliament can remove ban | ✘ commercial ops (if Parliament provides) |
| ✘ Central corporations / companies | ✘ local authorities, state companies |
| | ✘ customs & excise (1963) |

### 10. Effects of Emergencies

**Fiscal effect of emergencies:** The Centre-state financial relations in normal times (described above) undergo changes during emergencies. These are as follows:

#### A. National Emergency

**National Emergency – revenue modified:** While the proclamation of national emergency (under Article 352) is in operation, the President can modify the constitutional distribution of revenues between the Centre and the states. This means that the President can either reduce or cancel the transfer of finances (both tax sharing and grants-in-aid) from the Centre to the states. Such modification continues till the end of the financial year in which the emergency ceases to operate.

#### B. Financial Emergency

**Financial Emergency – directions:** While the proclamation of financial emergency (under Article 360) is in operation, the Centre can give directions to the states:

(i) **Financial propriety:** to observe the specified canons of financial propriety;
(ii) **Salary cuts:** to reduce the salaries and allowances of all class of persons serving in the state; and
(iii) **Reservation of money bills:** to reserve all money bills and other financial bills for the consideration of the President.

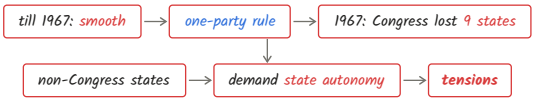
| Art. 352 | Art. 360 |
|---|---|
| reduce / cancel transfers<br>till end of financial year | financial propriety · salary cut<br>reserve money bills |

18 In Re. Sea Customs Act (1963).

## Trends in Centre-State Relations

### TRENDS IN CENTRE-STATE RELATIONS

**1967 – end of one-party dominance:** Till 1967, the centre-state relations by and large were smooth due to one-party rule at the Centre and in most of the states. In 1967 elections, the Congress party was defeated in nine states and its position at the Centre became weak. This changed political scenario heralded a new era in the Centre-state relations. The non-Congress Governments in the states opposed the increasing centralisation and intervention of the Central government. They raised the issue of state autonomy and demanded more powers and financial resources to the states. This caused tensions and conflicts in Centre-state relations.



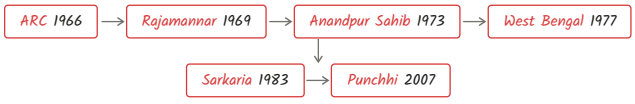

#### Tension Areas in Centre-State Relations

**Tension areas:** The issues which created tensions and conflicts between the Centre and states are:

(1) Mode of appointment and dismissal of governor;
(2) Discriminatory and partisan role of governors;
(3) Imposition of President's Rule for partisan interests;
(4) Deployment of Central forces in the states to maintain law and order;
(5) Reservation of state bills for the consideration of the President;
(6) Discrimination in financial allocations to the states;
(7) Role of Planning Commission in approving state projects; (till its replacement by the NITI Aayog in 2015);
(8) Management of All-India Services (IAS, IPS, and IFoS);
(9) Use of electronic media for political purposes;
(10) Appointment of enquiry commissions against the chief ministers;
(11) Sharing of finances (between Centre and states);
(12) Encroachment by the Centre on the State List;
(13) Implementation of the Centrally sponsored schemes by the states; and
(14) Modus operandi of the central agencies like CBI, ED and so on.

| Governor | Emergency / forces | Legislative | Financial | Administrative |
|---|---|---|---|---|
| (1) (2) | (3) (4) | (5) (12) | (6) (7) (11) (13) | (8) (9) (10) (14) |

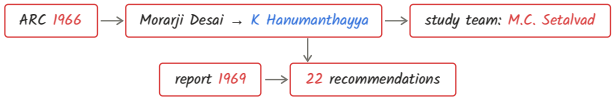
**Reform efforts since 1960s:** The issues in Centre-State relations have been under consideration since the mid 1960s. In this direction, the following developments have taken place:




## Administrative Reforms Commission and Rajamannar Committee

#### Administrative Reforms Commission

**First ARC (1966):** The Central government appointed a six-member First Administrative Reforms Commission (ARC) of India in 1966 under the chairmanship of Morarji Desai (followed by K Hanumanthayya). Its terms of references included, among others, the examination of Centre-State relations. In order to examine thoroughly the various issues in Centre-state relations, the ARC constituted a study team under M.C. Setalvad. On the basis of the report of this study team, the ARC finalised its own report and submitted it to the Central government in 1969. It made 22 recommendations for improving the Centre-state relations. The important recommendations are:




- Establishment of an Inter-State Council under Article 263 of the Constitution.
- Appointment of persons having long experience in public life and administration and nonpartisan attitude as governors.
- Delegation of powers to the maximum extent to the states.
- Transferring of more financial resources to the states to reduce their dependency upon the Centre.
- Deployment of Central armed forces in the states either on their request or otherwise.

**Recommendations ignored:** No action was taken by the Central government on the recommendations of the ARC.

### Rajamannar Committee

**Rajamannar Committee (1969):** In 1969, the Tamil Nadu Government (DMK) appointed a three-member committee under the chairmanship of Dr. P.V. Rajamannar to examine the entire question of Centre-state relations and to suggest amendments to the Constitution so as to secure utmost autonomy to the states.[19] The committee submitted its report to the Tamil Nadu Government in 1971.

**Causes of unitary trends:** The Committee identified the reasons for the prevailing unitary trends (tendencies of centralisation) in the country.

They include:

(i) **Centre's special powers:** certain provisions in the Constitution which confer special powers on the Centre;
(ii) **One-party rule:** one-party rule both at the Centre and in the states;
(iii) **Fiscal dependence of states:** inadequacy of states' fiscal resources and consequent dependence on the Centre for financial assistance; and
(iv) **Central planning:** the institution of Central planning and the role of the Planning Commission.




**Rajamannar recommendations:** The important recommendations of the committee are as follows:

(i) **Inter-State Council:** An Inter-State Council should be set up immediately;
(ii) **Permanent Finance Commission:** Finance Commission should be made a permanent body;
(iii) **Disband Planning Commission:** Planning Commission should be disbanded and its place should be taken by a statutory body;
(iv) **Omit Arts. 356, 357, 365:** Articles 356, 357 and 365 (dealing with President's Rule) should be totally omitted;
(v) **End Governor's pleasure:** The provision that the state ministry holds office during the pleasure of the governor should be omitted;
(vi) **Transfer subjects to State List:** Certain subjects of the Union List and the Concurrent List should be transferred to the State List;
(vii) **Residuary powers to states:** the residuary powers should be allocated to the states; and
(viii) **Abolish AIS:** All-India services (IAS, IPS and IFoS) should be abolished.

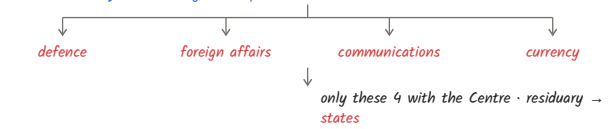
**Rajamannar ignored:** The Central government completely ignored the recommendations of the Rajamannar Committee.

19 The other two members of the committee were Dr. Lakshmanswamy Mudaliar and P.C. Chandra Reddy.

## Anandpur Sahib Resolution and West Bengal Memorandum

### Anandpur Sahib Resolution

**Anandpur Sahib Resolution (1973):** In 1973, the Akali Dal adopted a resolution containing both political and religious demands in a meeting held at Anandpur Sahib in Punjab. The resolution, generally known as Anandpur Sahib Resolution, demanded that the Centre's jurisdiction should be restricted only to defence, foreign affairs, communications, and currency and the entire residuary powers should be vested in the states. It stated that the Constitution should be made federal in the real sense and should ensure equal authority and representation to all the states at the Centre.

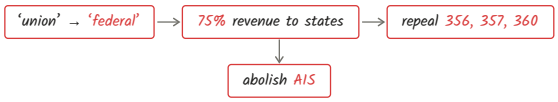



### West Bengal Memorandum

**West Bengal Memorandum (1977):** In 1977, the West Bengal Government (led by the Communists) published a memorandum on Centre-state relations and sent it to the Central government.

The memorandum inter alia suggested the following:

(i) **'Federal' for 'Union':** The word 'union' in the Constitution should be replaced by the word 'federal';
(ii) **Limited Central jurisdiction:** The jurisdiction of the Centre should be confined to defence, foreign affairs, currency, communications and economic co-ordination;
(iii) **Residuary to states:** All other subjects including the residuary should be vested in the states;
(iv) **Repeal Arts. 356, 357, 360:** Articles 356 and 357 (President's Rule) and 360 (financial emergency) should be repealed;
(v) **States' consent for reorganisation:** State's consent should be made obligatory for formation of new states or reorganisation of existing states;
(vi) **75% revenue to states:** Of the total revenue raised by the Centre from all sources, 75 per cent should be allocated to the states;
(vii) **Equal powers to Rajya Sabha:** Rajya Sabha should have equal powers with that of the Lok Sabha; and
(viii) **Abolish AIS:** There should be only Central and state services and the All-India Services should be abolished.




**Memorandum rejected:** The Central government did not accept the demands made in the memorandum.

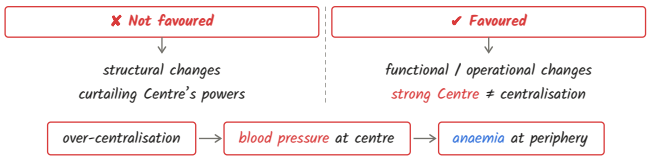
| Body | Year | By | Fate |
|---|---|---|---|
| ARC | 1966–69 | Central govt | no action |
| Rajamannar Committee | 1969–71 | Tamil Nadu (DMK) | completely ignored |
| Anandpur Sahib Resolution | 1973 | Akali Dal | — |
| West Bengal Memorandum | 1977 | West Bengal govt | not accepted |

## Sarkaria Commission

### Sarkaria Commission

**Sarkaria Commission (1983–88):** In 1983, the Central government appointed a three-member Commission on Centre-state relations under the chairmanship of R.S. Sarkaria, a retired judge of the Supreme Court.[20] The commission was asked to examine and review the working of existing arrangements between the Centre and states in all spheres and recommend appropriate changes and measures. It submitted it's report in 1988.

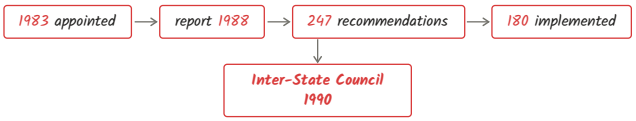
**Functional, not structural, change:** The Commission did not favour structural changes and regarded the existing constitutional arrangements and principles relating to the institutions basically sound. But, it emphasised on the need for changes in the functional or operational aspects. It observed that federalism is more a functional arrangement for co-operative action than a static institutional concept. It outrightly rejected the demand for curtailing the powers of the Centre and stated that a strong Centre is essential to safeguard the national unity and integrity which is being threatened by the fissiparous tendencies in the body politic. However, it did not equate strong Centre with centralisation of powers. It observed that over-centralisation leads to blood pressure at the centre and anaemia at the periphery.



**247 recommendations:** The Commission made 247 recommendations to improve Centre-state relations. The important recommendations are mentioned below:

1. **Inter-Governmental Council (Art. 263):** A permanent Inter-State Council called the Inter-Governmental Council should be set up under Article 263.
2. **Art. 356 as last resort:** Article 356 (President's Rule) should be used very sparingly, in extreme cases as a last resort when all the available alternatives fail.
3. **Strengthen AIS:** The institution of All-India Services should be further strengthened and more of such services should be created.
4. **Residuary powers – taxation vs others:** The residuary powers of taxation should continue to remain with the Parliament, while the other residuary powers should be placed in the Concurrent List.
5. **Reasons for withholding assent:** When the President withholds his/her assent to the state bills, the reasons should be communicated to the state government.
6. **NDC to NEDC:** The National Development Council (NDC) should be renamed and reconstituted as the National Economic and Development Council (NEDC).
7. **Revive Zonal Councils:** The zonal councils should be constituted afresh and reactivated to promote the spirit of federalism.
8. **Deployment of armed forces:** The Centre should have powers to deploy its armed forces, even without the consent of states. However, it is desirable that the states should be consulted.
9. **Consultation on Concurrent List:** The Centre should consult the states before making a law on a subject of the Concurrent List.
10. **CM consultation on Governor:** The procedure of consulting the chief minister in the appointment of the state governor should be prescribed in the Constitution itself.
11. **Corporation tax sharing:** The net proceeds of the corporation tax may be made permissibly shareable with the states.
12. **No dismissal of majority ministry:** The governor cannot dismiss the council of ministers so long as it commands a majority in the assembly.
13. **Fixed tenure of Governor:** The governor's term of five years in a state should not be disturbed except for some extremely compelling reasons.
14. **Commission of enquiry:** No commission of enquiry should be set up against a state minister unless a demand is made by the Parliament.
15. **Surcharge on income tax:** The surcharge on income tax should not be levied by the Centre except for a specific purpose and for a strictly limited period.
16. **FC-Planning Commission balance:** The present division of functions between the Finance Commission and the Planning Commission is reasonable and should continue.
17. **Three-language formula:** Steps should be taken to uniformly implement the three language formula in its true spirit.
18. **Decentralised broadcasting:** No autonomy for radio and television but decentralisation in their operations.
19. **Status quo on Rajya Sabha:** No change in the role of Rajya Sabha and Centre's power to reorganise the states.
20. **Linguistic minorities commissioner:** The commissioner for linguistic minorities should be activated.

**Implementation – ISC 1990:** The Central government has implemented 180 (out of 247) recommendations of the Sarkaria Commission. The most important is the establishment of the Inter-State Council in 1990.



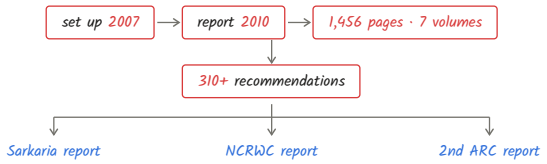

20 B. Sivaraman and S.R. Sen were two other members of the Commission.

## Punchhi Commission – I

### Punchhi Commission

**Punchhi Commission (2007):** The Second commission on Centre-State Relations was set-up by the Government of India in 2007 under the Chairmanship of Madan Mohan Punchhi, former Chief Justice of India.[21] It was required to look into the issues of Centre-State relations keeping in view the sea-changes that have taken place in the polity and economy of India since the Sarkaria Commission had last looked at the issue of Centre-State relations over two decades ago.

**Report (2010):** The Commission submitted its report to the government in 2010. In finalising the 1,456 page report, in seven volumes, the Commission took extensive help from the Sarkaria Commission report, the National Commission to Review the Working of the Constitution (NCRWC) report and the Second Administrative Reforms Commission report. However, in a number of areas, the Commission report differed from the Sarkaria Commission recommendations.




**Cooperative federalism:** After examining at length the issues raised in its Terms of Reference and the related aspects in all their hues and shades, the Commission came to the conclusion that '**cooperative federalism**' will be the key for sustaining India's unity, integrity and social and economic development in future. The principles of cooperative federalism thus may have to act as a practical guide for Indian polity and governance.

**310+ recommendations:** In all, the Commission made over 310 recommendations, touching upon several significant areas in the working of Centre-state relations. The important recommendations are mentioned below:

1. **Prior consensus on Concurrent laws:** To facilitate effective implementation of the laws on List III subjects, it is necessary that some broad agreement is reached between the Union and states before introducing legislation in Parliament on matters in the Concurrent List.
2. **Restraint on parliamentary supremacy:** The Union should be extremely restrained in asserting Parliamentary supremacy in matters assigned to the states. Greater flexibility to states in relation to subjects in the State List and "transferred items" in the Concurrent List is the key for better Centre-state relations.
3. **Minimal occupation of Concurrent field:** The Union should occupy only that many of subjects in concurrent or overlapping jurisdiction which are absolutely necessary to achieve uniformity of policy in demonstrable national interest.
4. **ISC as auditor:** There should be a continuing auditing role for the Inter-state Council in the management of matters in concurrent or overlapping jurisdiction.
5. **Time limit for President's assent:** The period of six months prescribed in Article 201 for State Legislature to act when the bill is returned by the President can be made applicable for the President also to decide on assenting or withholding assent to a state bill reserved for consideration of the President.
6. **Treaty-making law (Entry 14):** Parliament should make a law on the subject of Entry 14 of List I (treaty making and implementing it through Parliamentary legislation) to streamline the procedures involved. The exercise of the power obviously cannot be absolute or unchartered in view of the federal structure of legislative and executive powers.
7. **Treaty costs in FC ToR:** Financial obligations and its implications on state finances arising out of treaties and agreements should be a permanent term of reference to the Finance Commissions constituted from time to time.

21 The other four Members of the Commission were Dhirendra Singh (Former Secretary to the Government of India), Vinod Kumar Duggal (Former Secretary to the Government of India), Prof. N.R. Madhava Menon (Former Director, National Judicial Academy, Bhopal and National Law School of India, Bangalore) and Dr. Amaresh Bagchi (Emeritus Professor, National Institute of Public Finance and Policy, New Delhi). With the passing away of Dr. Bagchi in February 2008, Vijay Shanker (Former Director, Central Bureau of Investigation, Government of India) was appointed in his place as a Member of the Commission in October 2008.

## Punchhi Commission – II (Governors)

8. **Criteria for Governor:** While selecting Governors, the Central Government should adopt the following strict guidelines as recommended in the Sarkaria Commission report and follow its mandate in letter and spirit:
   - (i) **Eminence:** He/she should be eminent in some walk of life
   - (ii) **Outsider:** He/she should be a person from outside the state
   - (iii) **Detached figure:** He/she should be a detached figure and not too intimately connected with the local politics of the state
   - (iv) **Non-political:** He/she should be a person who has not taken too great a part in politics generally and particularly in the recent past

eminent | outsider | detached | not too political

9. **Fixed five-year tenure:** Governors should be given a fixed tenure of five years and their removal should not be at the sweet will of the Government at the Centre.
10. **Impeachment of Governor:** The procedure laid down for impeachment of President, mutatis mutandis can be made applicable for impeachment of Governors as well.
11. **Limited discretion (Art. 163):** Article 163 does not give the Governor a general discretionary power to act against or without the advice of his/her Council of Ministers. In fact, the area for the exercise of discretion is limited and even in this limited area, his/her choice of action should not be arbitrary or fanciful. It must be a choice dictated by reason, activated by good faith and tempered by caution.
12. **Six-month limit on assent:** In respect of bills passed by the Legislative Assembly of a state, the Governor should take the decision within six months whether to grant assent or to reserve it for consideration of the President.
13. **Hung assembly guidelines:** On the question of Governor's role in appointment of Chief Minister in the case of an hung assembly, it is necessary to lay down certain clear guidelines to be followed as Constitutional conventions. These guidelines may be as follows:
    - (i) **Widest support:** The party or combination of parties which commands the widest support in the Legislative Assembly should be called upon to form the Government.
    - (ii) **Pre-poll alliance as one party:** If there is a pre-poll alliance or coalition, it should be treated as one political party and if such coalition obtains a majority, the leader of such coalition shall be called by the Governor to form the Government.
    - (iii) **Order of preference:** In case no party or pre-poll coalition has a clear majority, the Governor should select the Chief Minister in the order of preference indicated here.
      - (a) **Pre-poll alliance:** The group of parties which had pre-poll alliance commanding the largest number
      - (b) **Largest single party:** The largest single party staking a claim to form the government with the support of others
      - (c) **Post-poll coalition:** A post-electoral coalition with all partners joining the government
      - (d) **Post-poll alliance with outside support:** A post-electoral alliance with some parties joining the government and the remaining including independents supporting the government from outside

(a) pre-poll alliance → (b) largest single party → (c) post-poll coalition (all join)
↓
(d) post-poll alliance (some outside)

14. **Floor test:** On the question of dismissal of a Chief Minister, the Governor should invariably insist on the Chief Minister proving his/her majority on the floor of the House for which he/she should prescribe a time limit.
15. **Sanction for prosecution:** The Governor should have the right to sanction for prosecution of a state minister against the advice of the Council of Ministers, if the Cabinet decision appears to the Governor to be motivated by bias in the face of overwhelming material.
16. **No Chancellor role:** The convention of Governors acting as Chancellors of Universities and holding other statutory positions should be done away with. His/her role should be confined to the Constitutional provisions only.

## Punchhi Commission – III (Emergency and Coordination)

17. **Art. 356 as last resort:** When an external aggression or internal disturbance paralyses the state administration creating a situation of a potential break down of the Constitutional machinery of the state, all alternative courses available to the Union for discharging its paramount responsibility under Article 355 should be exhausted to contain the situation and the exercise of the power under Article 356 should be limited strictly to rectifying a "failure of the Constitutional machinery in the state".
18. **Bommai guidelines:** On the question of invoking Article 356 in case of failure of Constitutional machinery in states, suitable amendments are required to incorporate the guidelines set forth in the landmark judgement of the Supreme Court in S.R. Bommai case[22] (1994). This would remove possible misgivings in this regard on the part of states and help in smoothening Centre-state relations.
19. **Localised emergency:** Given the strict parameters now set for invoking the emergency provisions under Articles 352 and 356 to be used only as a measure of "last resort", and the duty of the Union to protect states under Article 355, it is necessary to provide a Constitutional or legal framework to deal with situations which require Central intervention but do not warrant invoking the extreme steps under Articles 352 and 356. Providing the framework for "**localised emergency**" would ensure that the state government can continue to function and the Assembly would not have to be dissolved while providing a mechanism to let the Central Government respond to the issue specifically and locally. The imposition of local emergency is fully justified under the mandate of Article 355 read with Entry 2A of List I and Entry 1 of List II of the Seventh Schedule.

crisis in a state → Art. 355 alternatives first → **localised emergency**
↓
Art. 356 only last resort

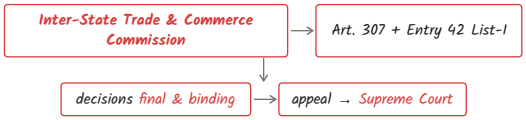
20. **Strong Inter-State Council:** Suitable amendments to Article 263 are required to make the Inter-State Council a credible, powerful and fair mechanism for management of inter-state and Centre-state differences.
21. **Zonal Councils – twice a year:** The Zonal Councils should meet at least twice a year with an agenda proposed by states concerned to maximise co-ordination and promote harmonisation of policies and action having inter-state ramification. The Secretariat of a strengthened Inter-State Council can function as the Secretariat of the Zonal Councils as well.
22. **Institutional coordination forums:** The Empowered Committee of Finance Ministers of States proved to be a successful experiment in inter-state co-ordination on fiscal matters. There is need to institutionalise similar models in other sectors as well. A forum of Chief Ministers, Chaired by one of the Chief Minister by rotation can be similarly thought about particularly to co-ordinate policies of sectors like energy, food, education, environment and health.
23. **New AIS:** New all-India services in sectors like health, education, engineering and judiciary should be created.
24. **Rajya Sabha as federal chamber:** Factors inhibiting the composition and functioning of the Second Chamber as a representative forum of states should be removed or modified even if it requires amendment of the Constitutional provisions. In fact, Rajya Sabha offers immense potential to negotiate acceptable solutions to the friction points which emerge between Centre and states in fiscal, legislative and administrative relations.
25. **Equal representation in Rajya Sabha:** A balance of power between states inter se is desirable and this is possible by equality of representation in the Rajya Sabha. This requires amendment of the relevant provisions to give equality of seats to states in the Rajya Sabha, irrespective of their population size.
26. **Devolution to local bodies:** The scope of devolution of powers to local bodies to act as institutions of self-government should be constitutionally defined through appropriate amendments.
27. **Cost sharing:** All future Central legislations involving states' involvement should provide for cost sharing as in the case of the RTE Act. Existing Central legislations where the states are entrusted with the responsibility of implementation should be suitably amended providing for sharing of costs by the Central Government.
28. **Royalty revision:** The royalty rates on major minerals should be revised at least every three years without any delay. States should be properly compensated for any delay in the revision of royalty beyond three years.

| Inter-State Council | Zonal Councils | CM forum | RS equality |
|---|---|---|---|
| Art. 263 amend | 2×/year | by rotation | equal seats |

22 S.R. Bommai vs. Union of India (1994).

## Punchhi Commission – IV (Finance and Planning)

29. **Abolish profession tax ceiling:** The current ceiling on profession tax should be completely done away with by a Constitutional amendment.
30. **Revenue from Art. 268 taxes:** The scope for raising more revenue from the taxes mentioned in article 268 should be examined afresh. This issue may be either referred to the next Finance Commission or an expert committee be appointed to look into the matter.
31. **Fiscal accountability:** To bring greater accountability, all fiscal legislations should provide for an annual assessment by an independent body and the reports of these bodies should be laid in both Houses of Parliament/state legislature.
32. **Even-handed ToR:** Considerations specified in the Terms of Reference (ToR) of the Finance Commission should be even handed as between the Centre and the states. There should be an effective mechanism to involve the states in the finalisation of the ToR of the Finance Commissions.
33. **Review cesses & surcharges:** The Central Government should review all the existing cesses and surcharges with a view to bringing down their share in the gross tax revenue.
34. **Plan vs non-plan expenditure:** Because of the close linkages between the plan and non-plan expenditure, an expert committee may be appointed to look into the issue of distinction between the plan and non-plan expenditure.
35. **FC–Plan synchronisation:** There should be much better coordination between the Finance Commission and the Planning Commission. The synchronisation of the periods covered by the Finance Commission and the Five-Year Plan will considerably improve such coordination.
36. **Permanent FC secretariat:** The Finance Commission division in the Ministry of Finance should be converted into a full-fledged department, serving as the permanent secretariat for the Finance Commissions.
37. **Planning Commission as coordinator:** The Planning Commission has a crucial role in the current situation. But its role should be that of coordination rather that of micro managing sectoral plans of the Central ministries and the states.
38. **Inter-State Trade & Commerce Commission:** Steps should be taken for the setting up of an Inter-State Trade and Commerce Commission under Article 307 read with Entry 42 of List-I. This Commission should be vested with both advisory and executive roles with decision making powers. As a Constitutional body, the decisions of the Commission should be final and binding on all states as well as the Union of India. Any party aggrieved with the decision of the Commission may prefer an appeal to the Supreme Court.




**Status of implementation:** The recommendations contained in the Report of the Punchhi Commission have been considered by the Standing Committee of the Inter-State Council in its meetings held in 2017 and 2018. The recommendations of the Commission along with the recommendations of the Standing Committee thereon, have been circulated to the state governments for comments[23].

Punchhi report → ISC Standing Committee (2017, 2018) → circulated to states

23 Annual Report 2021-22, Ministry of Home Affairs, Government of India, p. 246.

## Articles at a Glance – Legislative and Administrative

**Table 15.1 Articles Related to Centre-State Legislative Relations at a Glance**

| Article No. | Subject Matter |
|---|---|
| 245. | Extent of laws made by Parliament and by the legislatures of states |
| 246. | Subject-matter of laws made by Parliament and by the legislatures of states |
| 246A. | Special provision with respect to goods and services tax |
| 247. | Power of Parliament to provide for the establishment of certain additional courts |
| 248. | Residuary powers of legislation |
| 249. | Power of Parliament to legislate with respect to a matter in the state list in the national interest |
| 250. | Power of Parliament to legislate with respect to any matter in the state list if a Proclamation of Emergency is in operation |
| 251. | Inconsistency between laws made by Parliament under articles 249 and 250 and laws made by the legislatures of states |
| 252. | Power of Parliament to legislate for two or more states by consent and adoption of such legislation by any other state |
| 253. | Legislation for giving effect to international agreements |
| 254. | Inconsistency between laws made by Parliament and laws made by the legislatures of states |
| 255. | Requirements as to recommendations and previous sanctions to be regarded as matters of procedure only |

**Table 15.2 Articles Related to Centre-State Administrative Relations at a Glance**

| Article No. | Subject Matter |
|---|---|
| 256. | Obligation of states and the Union |
| 257. | Control of the Union over states in certain cases |
| 257A. | Assistance to states by deployment of armed forces or other forces of the Union (Repealed) |
| 258. | Power of the Union to confer powers, etc., on states in certain cases |
| 258A. | Power of the states to entrust functions to the Union |
| 259. | Armed Forces in states in Part B of the First Schedule (Repealed) |
| 260. | Jurisdiction of the Union in relation to territories outside India |
| 261. | Public acts, records and judicial proceedings |
| 262. | Adjudication of disputes relating to waters of inter-state rivers or river valleys |
| 263. | Provisions with respect to an inter-state Council |

## Articles at a Glance – Financial Relations

**Table 15.3 Articles Related to Centre-State Financial Relations at a Glance**

| Article No. | Subject Matter |
|---|---|
| | **Distribution of Revenues between the Union and the States** |
| 268. | Duties levied by the Union but collected and appropriated by the states |
| 268A. | Service tax levied by the Union and collected and appropriated by the Union and the states (Repealed) |
| 269. | Taxes levied and collected by the Union but assigned to the states |
| 269A. | Levy and collection of goods and services tax in course of inter-state trade or commerce |
| 270. | Taxes levied and distributed between the Union and the states |
| 271. | Surcharge on certain duties and taxes for purposes of the Union |
| 272. | Taxes which are levied and collected by the Union and may be distributed between the Union and the states (Repealed) |
| 273. | Grants in lieu of export duty on jute and jute products |
| 274. | Prior recommendation of the President required to bills affecting taxation in which states are interested |
| 275. | Grants from the Union to certain states |
| 276. | Taxes on professions, trades, callings and employments |
| 277. | Savings |
| 278. | Agreement with states in Part B of the First Schedule with regard to certain financial matters (Repealed) |
| 279. | Calculation of "net proceeds", etc. |
| 279A. | Goods and Services Tax Council |
| 280. | Finance Commission |
| 281. | Recommendations of the Finance Commission |
| | **Miscellaneous Financial Provisions** |
| 282. | Expenditure defrayable by the Union or a state out of its revenues |
| 283. | Custody, etc., of Consolidated Funds, Contingency Funds and moneys credited to the public accounts |
| 284. | Custody of suitors' deposits and other moneys received by public servants and courts |
| 285. | Exemption of property of the Union from state taxation |
| 286. | Restrictions as to imposition of tax on the sale or purchase of goods |
| 287. | Exemption from taxes on electricity |
| 288. | Exemption from taxation by states in respect of water or electricity in certain cases |
| 289. | Exemption of property and income of a state from Union taxation |
| 290. | Adjustment in respect of certain expenses and pensions |
| 290A. | Annual payment to certain Devaswom Funds |
| 291. | Privy purse sums of Rulers (Repealed) |
| | **Borrowing** |
| 292. | Borrowing by the Government of India |
| 293. | Borrowing by States |